

complaint

Mr D complains, on behalf of his business, that Liverpool Victoria Insurance Company Limited (LV) has unfairly declined his claim for damage and business interruption under its commercial insurance policy, following a storm at his business premises.

background

Mr D said a severe storm flooded his premises and his business was interrupted. LV declined the claim citing an exclusion clause for flood damage on his policy:

FLOOD EXCLUSION

Material Damage ("All Risks") excludes Damage arising from or in connection with flood.

Mr D's representatives said that local drains were blocked as a consequence of the storm and that without the storm the damage wouldn't have occurred. They said the claim should be considered under the storm peril. The representatives said the flood exclusion was only introduced at renewal of the policy in 2016, and wasn't part of the original cover. They said LV's renewal letter didn't highlight that the exclusions had been added at renewal.

LV appointed a loss adjuster to assess the claim. The loss adjuster reported that heavy rain water accumulated on the street and continued to rise until the drains were overwhelmed and the rain water eventually entered Mr D's premises causing damage.

LV said that had the rainwater damaged Mr D's premises without first accumulating and spreading to the premises then it would've considered this to be a storm. However, the evidence showed the damage was directly caused by flood as a consequence of a storm. LV said Mr D's policy contained an exclusion clause for flood damage because the premises had shown in the past to pose an unacceptable risk of flood.

The investigator said there was no evidence from local weather reports that there had been a storm, although there was a flood in the area. She said the loss adjuster's report showed the premises had been overrun by flood water which had built up outside on the road.

The investigator said the policy had been amended to include the flood exclusion clause and LV was entitled to do this based on the expert flood information it received. She said LV had shown that Mr D's broker was notified about the exclusion and she didn't think LV's decision to decline the claim was unfair.

Mr D's representatives sent in evidence there had been a storm at the time and said this was 'the proximate cause' of the damage. They said they hadn't been shown any evidence of LV's flood mapping and the new exclusion hadn't been properly highlighted to Mr D or his broker. They requested an ombudsman review Mr D's complaint.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Both Mr D's representatives say the cause of the damage was a storm. However, I think it's clear from the loss adjuster's report and from the descriptions from Mr D's representatives gave about the blocked drains that the damage to his premises was caused directly by flood,

and indirectly by a storm. There is no expert evidence to suggest this should be considered the other way round and so the insured peril under which the claim must be considered is 'flood'.

Mr D's representatives said that when the flood exclusion clause was added to the policy it merited far greater attention and clear communication to the broker and to Mr D. Mr D's broker said it didn't receive LV's email, but it made no mention of LV's renewal letter.

Mr D's broker acted on Mr D's behalf and so LV wasn't required to notify him separately. I have seen the renewal letter sent by LV to Mr D's broker and the flood exclusion clause is highlighted in red on the first page. LV has also shown that it sent the broker a separate email about the flood exclusion. Mr D's broker then emailed LV to say that Mr D accepted the terms for renewal. I think it's clear that LV took proper steps to highlight the introduction of the flood exclusion to Mr D's broker and I don't think it needed to do any more.

LV has explained that the flood exclusion wasn't part of the original policy as a new flood mapping system score changed at renewal. LV said it had explained this to Mr D's broker at the time. I've seen LV's flood mapping tool and the very high flood risk illustrated for the location of Mr D's premises. I think it was reasonable for LV's underwriters to reach the conclusion that a flood exclusion clause should be introduced to the cover based on the detailed evidence it had obtained.

From what I've seen, it was reasonable for LV to add the flood exclusion clause to Mr D's policy and this was communicated properly. The expert assessment of the damage points to flood as the cause and so I don't think it was unfair for LV to decline Mr D's claim on the basis this was excluded. I sympathise with Mr D for the damage to his business, but I don't require LV to take any action in respect of his claim.

my final decision

For the reasons I have given it is my final decision that the complaint is not upheld.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr D to accept or reject my decision before 7 July 2017.

Andrew Fraser
ombudsman